

EQUITY RESEARCH — INITIATING COVERAGE

Tata Consultancy Services Ltd

NSE: TCS | IT Services & Consulting | Large Cap

HOLD

| Target Price: ₹2,374

| CMP: ₹2,377

CMP (₹)	Target (₹)	Upside	Mkt Cap (₹Cr)	52W Range	Rating
2,377.40	2,374	(0.1%)	8,60,164	₹2,011– ₹4,585	HOLD

Investment Summary

Tata Consultancy Services (TCS) is India's largest IT services company and the world's second-largest by market capitalisation in the sector. TCS operates across 50+ countries, serves 19 of the Fortune 500, and derives approximately 57% of its revenue from North America. Following two years of post-pandemic hyper-growth (17.6% CAGR in FY23–FY24), the company has entered a normalisation phase, posting 6.8% revenue growth in FY25.

Our 5-year DCF model yields an intrinsic value of ₹2,374 per share, virtually in line with the current market price of ₹2,377. The stock appears fairly valued with minimal margin of safety. We initiate coverage with a HOLD recommendation. We would look to upgrade to BUY on a pullback towards ₹2,150 (implied ~10% discount to fair value), or on evidence of an accelerating deal-win cycle.

Investment Thesis

1. Structural Demand Recovery Underway

Global enterprises are progressively resuming discretionary IT spending after the 2023–2024 budget freeze. TCS reported a TCV deal win of \$13.2 bn in FY25, reflecting improving pipeline conversion. The BFSI vertical (33% of revenue) is showing early recovery signals driven by core modernisation and cloud migration.

2. Margin Resilience With Upside Optionality

TCS maintained EBIT margins in the 24–26% range through the growth deceleration cycle. Normalising attrition (~13.0% in FY25 vs. 19.7% at peak), an improving pyramid structure, and operating leverage from AI-driven productivity tools support a path to margin re-expansion. Our model conservatively builds in 25–27% EBIT margins across the forecast period.

3. Free Cash Flow Machine

TCS generated ₹45,549 Cr in operating cash flow in FY25 (CFO/EBITDA ~68%). With capex remaining modest (1.5–1.6% of revenue), the business is a capital-light compounder. Our model projects FCFE growing from ₹47,000 Cr in FY26 to ₹65,793 Cr in FY30, supporting a substantial and growing terminal value.

4. AI as Enabler, Not Disruptor

TCS is investing ahead of the curve in AI and GenAI capabilities through its WisdomNext platform, ignio AIOps suite, and a dedicated 200,000+ employee AI upskilling programme. Rather than cannibalising its headcount-driven model immediately, these investments position TCS to capture higher-value transformation deals and defend margins as automation scales.

Financial Summary

₹ Cr	FY23A	FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	1,91,754	2,25,458	2,55,324	2,70,643	2,88,235	3,06,971
Revenue Growth	17.6%	17.6%	6.8%	6.0%	6.5%	6.5%
EBITDA	53,086	59,296	67,456	73,726	80,922	83,672
EBITDA Margin	27.7%	26.3%	26.4%	27.2%	28.1%	27.3%
PAT	34,460	38,891	44,884	48,675	54,489	55,855
EPS (₹)	94.2	106.3	124.1	134.5	150.6	154.4
FCFF (₹Cr)	—	—	—	46,999	51,876	53,510

Source: TCS Annual Reports (FY23–FY25 actuals); Analyst estimates (FY26E–FY28E). All figures in ₹ Crore unless stated.

Valuation — Discounted Cash Flow

We value TCS using a 5-year explicit DCF model (FY26–FY30) followed by a Gordon Growth Model terminal value. Key assumptions are set out below.

Parameter	Value	Assumption
WACC	11.45%	CAPM: Rf 7.1%, ERP 5.5%, β 0.8
Terminal Growth Rate (g)	5.0%	India long-run nominal GDP
Sum of PV (FCFFs)	₹1,98,692 Cr	5-year explicit forecast
PV of Terminal Value	₹6,23,133 Cr	75.8% of EV
Enterprise Value	₹8,21,826 Cr	
(+) Cash & Bank	₹15,463 Cr	FY25 balance sheet
(+) Investments	₹30,964 Cr	FY25 balance sheet
(–) Debt	(₹9,392 Cr)	FY25 balance sheet
Equity Value	₹8,58,861 Cr	
Shares Outstanding	361.81 Cr	
Intrinsic Value / Share	₹2,374	
Current Market Price	₹2,377	
(Over) / Undervaluation	(0.1%)	Essentially at fair value

Sensitivity Note

Given that ~75.8% of our enterprise value is derived from the terminal value, the valuation is highly sensitive to WACC and terminal growth assumptions. A 50bps increase in WACC to 11.95% reduces intrinsic value to

approximately ₹2,095 (–12%). A 50bps reduction in terminal growth to 4.5% reduces intrinsic value to approximately ₹2,190 (–8%). The current price already embeds an optimistic set of long-run assumptions, reinforcing our HOLD stance.

Key Risks

Severity	Risk	Mitigant
High	USD/INR appreciation compresses revenue in INR terms; USD revenue (~57% from North America) exposed to dollar weakness	Natural hedge via INR cost base; pricing reviews and hedging programmes
High	US/EU macro slowdown or spending freeze by BFSI and retail clients; discretionary IT spend deferred	Deal pipeline diversification across verticals; annuity revenue ~60% of mix
Medium	AI-driven automation could reduce headcount-linked billing and compress realisation per employee	TCS invests heavily in AI/GenAI tools (WisdomNext, ignio); positioned as enabler rather than target
Medium	Attrition and wage inflation; TCS normalised attrition at ~13% but any re-acceleration hurts margins	Strong employer brand; campus hiring scale; internal mobility programmes
Low	Client concentration — top 10 clients represent ~28% of revenue; loss of a key account is material	Long tenure relationships; multi-year TCV backlog provides visibility

Recommendation & Price Targets

Rating: HOLD

We initiate coverage on TCS with a HOLD recommendation based on our DCF-derived target price of ₹2,374, representing essentially no upside from current levels.